India & Uzbekistan: Strengthening Partnership, Shaping Shared Growth

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Foreword

Uzbekistan occupies a distinctive position within Central Asia's economic landscape. As the region's most populous country, with a strategically important location at the crossroads of Central Asia, a young and growing population, a rapidly modernising economy, and significant agricultural, mineral and industrial resources, the country holds long-term promise across textiles, agriculture and food processing, mining and mineral beneficiation, pharmaceuticals, machinery, automotive components, renewable energy, information technology and logistics. At the same time, its double-landlocked geography, dependence on regional transport corridors, evolving regulatory environment, infrastructure requirements and exposure to external markets temper the pace at which this potential translates into realised opportunity, shaping a market where economic modernisation and investment potential coexist with significant connectivity and execution constraints.

India and Uzbekistan have maintained friendly and steadily developing bilateral relations, supported by political dialogue, historical and cultural links, cooperation in multilateral forums and growing commercial engagement. Trade between the two countries has remained relatively modest but spans a range of sectors, with Indian exports including pharmaceuticals, machinery, chemicals, textiles, agricultural products and manufactured goods, while Uzbekistan offers opportunities in agricultural commodities, food processing, textiles, minerals, natural resources and other industrial inputs. The underlying complementarities nonetheless remain significant: India's strengths in pharmaceuticals, automobiles, machinery, information technology, digital services, agricultural technology, renewable energy and manufacturing align with Uzbekistan's requirements for technology, investment and value-added production, while Uzbekistan's agricultural, textile, mineral and industrial base offers Indian companies opportunities for sourcing, investment, joint ventures and access to wider Central Asian markets.

Looking ahead, this paper outlines a practical set of initiatives through which CCI India can support Indian businesses in engaging with Uzbekistan in a manner appropriate to current conditions, whether through sector-specific market intelligence, structured business matchmaking, identification of credible local partners, assessment of logistics corridors, or institutional dialogue with Uzbekistan's relevant ministries, investment-promotion institutions and chambers of commerce that can be scaled as specific opportunities mature. This Knowledge Paper examines, in a structured and evidence-based manner, the current state of Uzbekistan's economy, its priority sectors, and the opportunities and constraints shaping India–Uzbekistan economic engagement, serving as a reference for CCI India's engagement with the Embassy of India in Tashkent, Uzbek stakeholders, and Indian companies assessing the market.



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UZBEKISTAN

> Step into a land of ancient cities and timeless trade routes, where history, culture, and vibrant traditions meet at every turn.



Basic Facts and Socio-Economic Landscape

Uzbekistan's official name is the Republic of Uzbekistan, with Tashkent serving as its capital. The country has a continental climate, experiencing extremes from as low as -20°C in winter to as high as 45°C in summer.

Population and Culture: As of April 2025, Uzbekistan's population is estimated at 37.60 million. The official language is Uzbek (spoken by 75%), followed by Russian (14%) and Tajik (4%). The primary ethnic group is Uzbek (80%), and the main religion is Islam (92%, mostly Sunni). The culture is deeply rooted in the history of the Silk Road, renowned for its ancient cities like Samarkand, Bukhara, and Khiva, which are celebrated for their distinctive Islamic architecture, rich traditions in art, music, and exquisite textiles. These cultural ties foster a strong foundation for people-to-people exchanges, which are key to deepening bilateral relations.

Economy and Finance

Uzbekistan has been one of the world's top reformers since 2017, liberalizing its economy and improving prospects for the private sector. The economy is strategically shifting from state-led to market-driven growth.

- **Gross Domestic Product (GDP):** Uzbekistan's nominal GDP is projected at approximately **US$140.4 *billion*** for 2025, with an estimated GDP growth rate of between **6.7% *and* 7.5%** for the year, driven by strong private consumption and net exports. Major sectors contributing to the GDP include Services (approximately 47.9%), Industry (29.2%), and Agriculture (11.3%).
- **Currency:** The official currency of Uzbekistan is the ***Uzbekistani Soum* (UZS).** The exchange rate as of April 2025 was approximately **UZS 12890.00 *per* US *Dollar*** and **UZS 150.94** per Indian Rupee.
- **Major Natural Resources:** The country possesses abundant natural gas, oil, and significant reserves of ***Gold***, copper, tungsten, and uranium. These resources are central to both its domestic consumption and export portfolio



Culture and Heritage

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Bilateral Trade and Economic Ties with India

The bilateral trade relationship between India and Uzbekistan is strengthening, supported by a favorable government framework, including the Bilateral Investment Treaty (BIT) which came into effect in May 2025.

Bilateral Trade Volume

While precise consolidated figures for the full calendar year 2025 are still forthcoming, the trade activity shows significant momentum. Based on available data (e.g., as of September 2025), total bilateral trade is on an upward trajectory. For a reference point, the annual trade for a recent year (2024 data) was approximately **US$596.35 million** (India's exports to Uzbekistan: $477.35 million, Uzbekistan's exports to India: $119 million). However, more recent monthly data for 2025 suggests accelerated growth, indicating the overall bilateral trade for the full year 2025 is expected to exceed the half-billion-dollar mark significantly and move closer to the **US$1 billion** target being actively promoted by both nations.

Economic Ties and Cooperation

Bilateral economic ties extend beyond mere trade. Key areas of cooperation that are being actively pursued in 2025 include:

- **Connectivity:** Both countries are focused on developing transit corridors, such as the International North-South Transport Corridor (INSTC), to overcome geographical barriers and facilitate seamless movement of goods.
- **Investment:** Sectors like IT, Digital Payments, Pharmaceuticals, Infrastructure, Textiles, and Renewable Energy are seeing increased Indian investment interest, supported by high-level inter-governmental commissions and trade promotion bodies. The operationalization of the Bilateral Investment Treaty (BIT) is a major catalyst for protecting and promoting mutual investments.
- **Development Cooperation:** India extends support through capacity-building initiatives like the Indian Technical and Economic Cooperation (ITEC) programme, particularly in areas like IT and finance, which directly supports Uzbekistan's reform agenda.

Embassy of India in Uzbekistan

The diplomatic mission plays a crucial role in facilitating bilateral trade and economic cooperation.

- **Location:** The Embassy of India is located in Tashkent, Uzbekistan
- **Commercial Wing:** The Embassy houses a dedicated Commercial Representative's Office which is responsible for fostering commercial cooperation. This office provides crucial trade and economic data, supports business events (like trade fairs and summits), and facilitates engagement between Indian and Uzbek companies and government bodies. The Ambassador.



1. Uzbekistan: Economic Profile and Business Environment

1.1 Country overview

Uzbekistan has a population of over thirty-five million, the largest in Central Asia, with a young age structure and rapid urbanisation. It is a lower-middle-income economy that has grown strongly in recent years. The capital, Tashkent, is the commercial and administrative centre; Samarkand, Bukhara, Khiva, Fergana and Navoi are other significant cities and industrial areas.

1.2 Structure of the economy

Agriculture: cotton, wheat, fruits, vegetables, grapes, melons, dried fruits, nuts and silk.

Mining and energy: gold, copper, uranium, natural gas and other minerals.

Manufacturing: textiles and garments, automotive, chemicals, food processing, building materials and electrical equipment.

Services: tourism, transport, trade, education and a rapidly growing IT sector.

Remittances: significant inflows from workers abroad.

1.3 Reform agenda

Since 2016, the government has pursued a broad programme of economic reform, including liberalising the exchange rate, reducing some price controls, simplifying customs and taxation, promoting private enterprise, restructuring state-owned firms, improving the investment climate and seeking accession to global trade institutions. Reform is ongoing and uneven, and investors should assess implementation in practice as well as in law.

1.4 Trade orientation and partnerships

Major trading partners include neighbouring countries, Russia, China, Türkiye, South Korea and the European Union. Uzbekistan has pursued preferential arrangements, benefits from a European preferential scheme for vulnerable economies, participates in regional frameworks, and is seeking membership in the World Trade Organization. These relationships shape the competitive environment for Indian firms.

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1.5 Business environment summary

Factor	Observation	Implication
Reform momentum	Strong but uneven implementation	Local partners and legal advice are essential
Market size	Large for the region	Scale for consumer and industrial goods
Geography	Double-landlocked	Logistics and corridor planning crucial
Language	Uzbek and Russian widely used; English growing	Translation and local staff
Currency and banking	Liberalised currency; evolving banking sector	Payment planning and secure instruments
Skills	Young, educated workforce	Training partnerships and talent supply

1.6 Trade basket

Uzbekistan exports gold, natural gas, cotton products, textiles, fruits and vegetables, chemicals and metals. It imports machinery, vehicles and components, chemicals, pharmaceuticals, food, electronics and consumer goods. Many import categories match Indian competitive products.

2. Strategic Context of India–Uzbekistan Relations

2.1 Historical and cultural foundations

Cities such as Samarkand and Bukhara were crossroads on the Silk Road, linking Indian, Persian, Chinese and Mediterranean worlds for centuries. Babur, founder of the Mughal dynasty, was born in the Fergana Valley, and the Timurid and Mughal cultures share architectural, culinary and artistic traditions. In the twentieth century Indian cinema became hugely popular in Soviet Central Asia, leaving an enduring cultural affection.

2.2 Strategic partnership

India and Uzbekistan upgraded their relationship to a strategic partnership in 2011, and have developed regular high-level contacts, joint commissions and business-council mechanisms. Both countries are members of the Shanghai Cooperation Organisation and share interests in regional stability, counter-terrorism, connectivity and economic development.

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